London Stock Exchange Market Data

MARKET DATA POLICY GUIDELINES

(Applicable for both London Stock Exchange and Turquoise Market Data)

London Stock Exchange Market Data Policy Guidelines

1 INTRODUCTION

1.1. The purpose of this document is to provide examples and guidance on how policies and reporting are applied in practice. The information provided is not exhaustive, as such please contact the Market Data team at marketdata@lseg.com to discuss specific use cases and queries.
1.2. The Exchanges reserve the right to update this document from time to time, with additional guidance to assist Customers with determining applicable licences and policies. The Exchanges will communicate any material change to interpretation and applicability of licences and policies in accordance with the Agreement.

2 GENERAL GUIDANCE

2.1. Licensing under the Agreement is generally technology-agnostic, in so far that the licence is applied based on the 'what' the Customer is doing with the Data, instead of 'how' this is being done. Accordingly, the policies apply whether the data is being used through traditional technical set ups, cloud-based arrangements, or solutions powered by artificial intelligence.
2.2. Licensing discussions with your account manager may determine that licensing should have been in place for a period of time prior to discussions taking place. In line with our approach to audits, the approach is to put in place any licensing that would have been held if the Customer was compliant with all policies, and accordingly, licences are backdated to either (i) when the Customer commenced the Licensable Activity, or (ii) when an activity was made a Licensable Activity by the Exchange. This is integral to maintenance of the level playing field between customers.
2.3. Audit, and information exchanged as part of an audit are covered by the confidentiality provisions in clause 10 of the Terms and Conditions.
2.4. In order to benefit from the Agreement, affiliated entities of the Customer must be considered a 'subsidiary' as defined in section 1159 of the Companies Act 2006 and must be listed on the Order Form. The Exchanges reserve the right to approve affiliated entities who would not meet the aforementioned criteria due to ownership structure variations where for jurisdictional reasons, but equivalent control can be evidenced.

3 REDISTRIBUTION GUIDANCE

3.1. Redistribution licences are required for provision of Data outside of a Customer and/or its Subsidiaries as appropriate.
3.2. There are a number of limited licences which are appropriate for certain restricted use cases, otherwise a standard licence is appropriate.
3.3. The below summarises each redistribution licence. The example use cases are not exhaustive, and instead seek to confirm which licence category is typically appropriate for certain uses:

Core Redistribution licence	A licence for redistribution to Professional Customers, or both Professional Customers and Private Investors *Typical use case: provision of Real Time Data via display and/or datafeed products*
Private Investor Redistribution licence	A licence for redistribution solely to End Customers who qualify as Private Investors *Typical use case: provision of Data by retail brokers and specialist Redistributors*
Delayed Data / After Midnight Redistribution licence	A licence for redistribution of Delayed Data and / or After Midnight Data delivered via controlled mechanisms respectively *Typical use case: website distribution, including customer portals, client reports*
Historical Redistribution licence	A licence for redistribution of After Midnight Data delivered via uncontrolled mechanisms *Typical use case: Cloud-based tick service, delivery of After Midnight Data via datafeed*
Per Price Request licence	A licence for Data redistribution where the End Customer actively requests a data point, instead of the Data automatically being refreshed *Typical use case: website distribution, including customer portals, display terminals, telephone information services, interactive services delivered via televisions*
TV Ticker licence	A licence for redistribution of individual quotes via TV Devices *Typical use case: news services on TVs*
Unlimited Private Investor licence	A licence for redistribution of Data to an unlimited number of End Customers who qualify as Private Investors *Typical use case: redistribution by retail brokers*

Enterprise internal use for journalistic purposes	A licence for consumption of Data by an unlimited number of Users who are conducting journalistic activities *Typical use case: use within newsroom for internal users*
Live Ticker for Issuers licence	A licence for provision of the real time share price of a company listed on the LSE, by such company *Typical use case: investor relations portals*
Investor Relations licence	A licence for delayed provision of up to 4 share prices of companies listed on the LSE *Typical use case: investor relations portals*
Last Trade Price licence	A licence for redistribution of certain data points on open websites for Private Investors *Typical use case: website distribution*

3.4. Where redistribution of any Delayed Data and/or After Midnight Data occurs under any Licensable Activity, and no commercial benefit is received from such redistribution, the Customer may request a fee waiver.

4 DERIVED DATA GUIDANCE

4.1. Derived Data licences are required for a number of use cases, and these are broadly carved into four categories of licence:

Indices/Benchmarks licence	A licence for creation of Indices/Benchmarks as defined under the Benchmark Regulations *Typical use case: creation of basket index, used as an underlying for financial instruments*
Derived Data other than Indices/Benchmarks	A licence for creation of Derived Data which is not Indices/Benchmarks, and is not operation of a Derived Data ATP or Raw Data ATP *Typical use cases: risk management applications including risk analysis, indicators/statistics, fundamental and technical analysis like momentum oscillators, Relative Strength Index, stochastic oscillators, moving averages, acting as the calculation agent for the calculation and provision of NAVs/iNAVs on behalf of third parties, the creation and distribution or bespoke or tradeable instruments for or to third parties, the creation and distribution of indicative prices based on the Data, VWAP calculation and distribution, portfolio management tools that provide portfolio evaluation/analysis in order to assess the adequacy of the portfolio to certain parameters*
Derived Data ATP	A licence for creation of certain instruments using Derived Data *Typical use case: creation of CFDs, spread betting instruments, binary options*
Raw Data ATP	A licence for creation of certain instruments using Data *Typical use case: creation of CFDs, spread betting instruments, binary options*

5 SERVICE FACILITATION GUIDANCE

5.1. The Exchanges permit two types of Service Facilitator to be recognised under the Agreement.

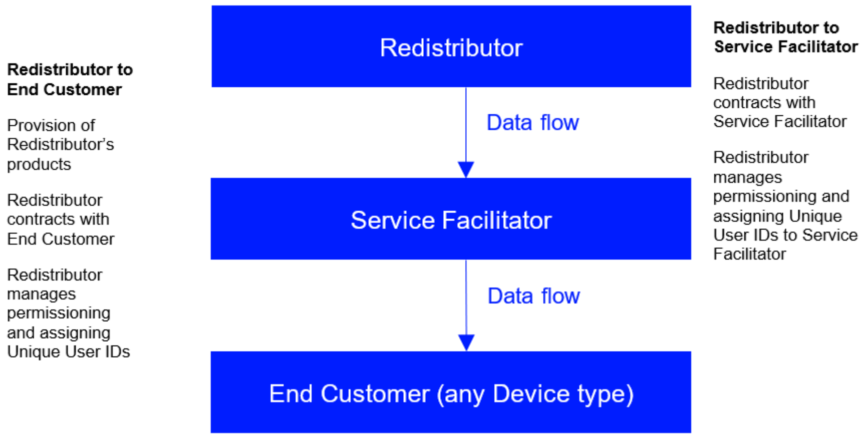
Redistribution Service Facilitators

5.2. Redistribution Service Facilitators enable licensed Redistributors to extend their distribution channels to End Customers, whether through technical or commercial arrangements.

5.3. The following examples provide guidance on how the policy is applied in practice:

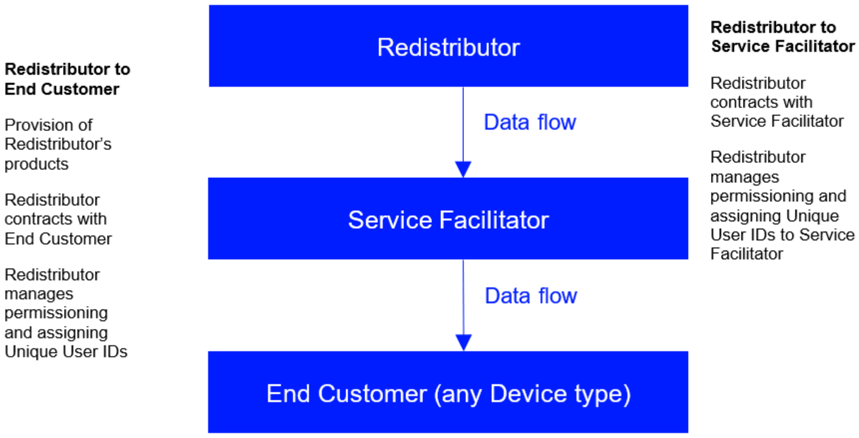
5.3.1. Redistribution partner – Redistributor branded solutions

As the



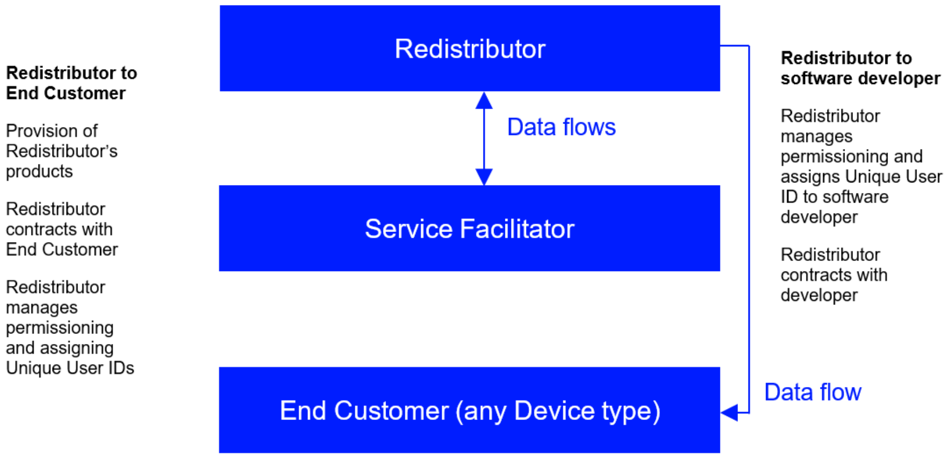
branding is solely of the Redistributor in this scenario, no additional Charge would apply.

5.3.2. Redistribution partner – Partner branded or co-branded solutions - 'vendor of record'



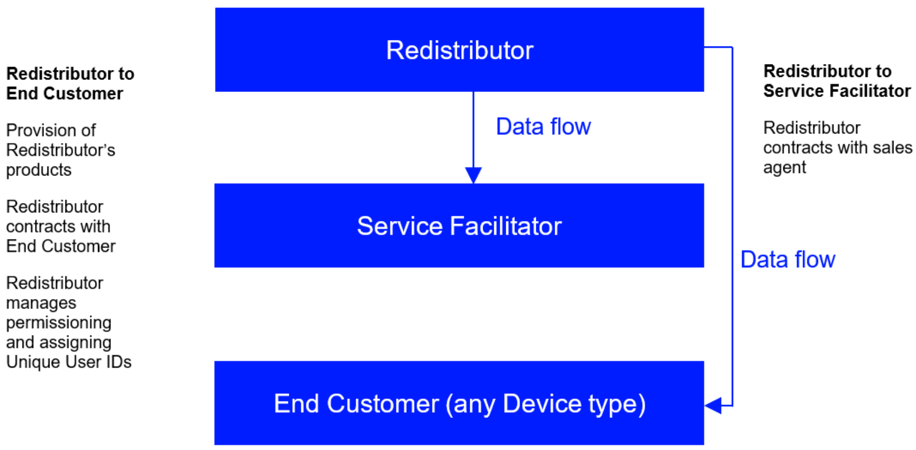
As the branding is not solely of the Redistributor in this scenario, Service Facilitator Licence Charges would apply.

5.3.3. Software developer



In this scenario, the software developer has no external clients and has no direct involvement in the provision of Data to End Customers. As such, no additional Charge would apply.

5.3.4. Sales agent



In this scenario, the sales agent has no direct external clients and instead promotes the Redistributor's services and products. As such, no additional Charge would apply.

Derived Data White Labels

5.4. Customers using the Data in a Derived Data ATP may choose to offer their service as a white label to customers who in turn offer the service, often co-branded, to their own end customers. This is subject to an additional annual fee and must be included in the licence application of the Customer offering the Derived Data ATP.

6 NON-DISPLAY USAGE GUIDANCE

6.1. Non-Display Data Usage pertains to 'trading based activities' only, and the category of use depends on the type of trading activity – whether a Customer is trading on their own account, on behalf of clients or in operation of a trading platform such as an MTF.
6.2. For the avoidance of doubt, Non-Display Usage in a hosted environment requires a Non-Display Usage licence and for most technical set ups, it would be the End Customer of the hosted environment who would require the relevant Non-Display Usage licence.
6.3. Trading on a matched principal basis is used to facilitate client basis, therefore in this scenario, a client facilitation licence is required. If not matched, both principal and client facilitation categories apply.
6.4. Examples of use cases which would require licensing include, but are not limited to:
- 6.4.1. semi-automated or automated order/quote generation
- 6.4.2. order pegging including reverse pegging
- 6.4.3. mid bid / offer pegging
- 6.4.4. limit order pegging
- 6.4.5. price referencing for trading purposes (excluding in the operation of an ATP)
- 6.4.6. automated or semi-automated pre-trade risk verification or assessment processes
- 6.4.7. smart order routing to facilitate trading
- 6.4.8. arbitrage
- 6.4.9. order management
- 6.4.10. execution management
- 6.4.11. electronic order flow and liquidity management systems
- 6.4.12. market making
- 6.4.13. 'black box' trading
- 6.4.14. program trading
- 6.4.15. algorithmic trading
- 6.4.16. operating multilateral trading facilities/dark pools, systematic internalisers.

Number of entitlements to applications

6.5. The Unit of Count for the purpose of the Non-Display Usage Licence categories 'Trading as Principal' and 'Client Facilitation' is the number of entitlements to applications, meaning the number of Devices capable of accessing, receiving, processing or otherwise using the Data for Non-Display Usage. Where a Device can simultaneously access the data multiple times, each entitlement/instance of the Device is counted.
6.6. For the purposes of counting the number of entitlements to applications for Non-Display Usage licensing, disaster recovery entitlements/instances of applications can be omitted, unless such disaster recovery instances run in production environments.
6.7. If the Customer cannot determine the number of entitlements to applications, the Enterprise banding should apply for each category of Non-Display Usage.
6.8. Any changes to the number of entitlements to applications, or Data Product should be reported to the Exchange.

7 OTHER APPLICATION USAGE GUIDANCE

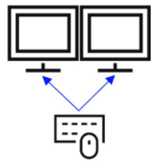
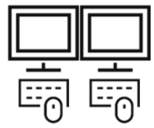
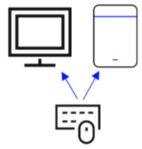
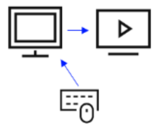
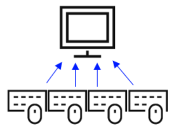
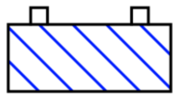
7.1. Other Application Usage refers to non-trading based activities using the data for purposes other than simple display.
7.2. Any changes to the number of entitlements of applications, or Data Product should be reported to the Exchange.

8 DATA CHARGE AND UNIT OF COUNT GUIDANCE

8.1. The following examples provide guidance on applying the Unit of Count as described in the Reporting and Audit Schedule.

One data control unit (e.g., keyboard), one Device

One Data Charge per Data Source

One keyboard, more than one Device	
One Data Charge per Data Source	
Two stand-alone (i.e., non-networked) Devices on one desk	
One Data Charge per Data Source per Device Assuming one Data Source per Device, this configuration attracts two charges.	
Two stand-alone Devices connected by a keyboard	
One Data Charge per Data Source Devices which would otherwise be classed as standalone, but which are linked by some form of single keyboard device are classed as a single chargeable Device.	
Slave Devices (not necessarily on the same desk)	
One Data Charge per Data Source A slave Device mirrors what the controlling Device displays and is incapable of being controlled independently, whether in whole or in part.	
Devices with multiple controls	
One Data Charge per Data Source Although in this example there can be more than one user, this configuration attracts only one set of charges because each keyboard contends for access	
Wallboards	
One Data Charge per Data Source Public display wallboards and other public 'ticker' or Data displays attract one Data Charge per Device per Data Source for the display of Data.	
Remote Devices	
Remote Devices, such as mobile phones and tablets, which use the same log in credentials to receive Data as an office- based Device do not attract additional Data Charges as long as the office-based Device is disabled (i.e., cannot be used) while the remote device is in operation and vice versa.	
Multiple applications	
Where a Unique User ID or Device is permitted access to Data via multiple display applications, the Data Charge applies per Unique User ID or Device per Data Source, regardless of the number of display applications.	
Electronic messaging	
For electronic messaging services (such as text messaging, emails and alerts), the Per-Price Request tariffs apply to the display of Data.	

Member Data Charges

8.2. Certain regulatory authorities in some countries (such as the USA) prevent broker offices, located in those countries, from taking advantage of member Data Charge rates, even though those offices may in fact be conducting London Stock Exchange business (routing orders indirectly through to London 'member' locations for direct execution). Member firms may additionally register these locations as eligible for these Data Charge discounts.

8.3. This criterion does not include any buy-side business entities that may be subsidiaries of the firm.

9 LICENSING APPLICATIONS AND ONGOING MANAGEMENT

9.1. Licensing applications can be submitted on the London Stock Exchange licensing portal ("**Licensing Portal**").
9.2. The Licensing Portal requires submission of relevant information to the Exchanges to ensure the licensing is put in place for all use of the Data deemed to be Licensable Activities.
9.3. When processing a licensing application, if the Exchange requires more information to determine if the correct licences are being put in place, the order may be returned to the order owner to request further detail.
9.4. Following submission of an order on the Licensing Portal, but prior to approval by the Exchange, a draft Order Form will be generated within the Licensing Portal.
9.5. Once satisfactory information has been provided, an executable Order Form is generated on the Licensing Portal to reflect the information submitted. Customers can elect to execute the Order Form, either by use of electronic signature software within the Licensing Portal, or alternatively Customers can download, print, sign and upload Order Forms.
9.6. Upon submission of a signed Order Form, the relevant Exchange will provide countersignature. At this point, the licensing order is deemed complete, and any signed documentation will be available in the Documents tab of the Licensing Portal.
9.7. Customers are responsible for ensuring that contact details on the Licensing Portal are correct at all times.
9.8. Changes to licensing requirements should be actioned through submission of an updated order within the Licensing Portal.